# MASTERS OF BUSINESS ADMINISTRATION

# SEMESTER 1



# DMBA115

## MANAGERIAL ECONOMICS

# Unit - 10

# Inflation and Deflation

# TABLE OF CONTENTS


| SL No | Topic | | Fig No / Table / Graph | SAQ / Activity | Page No |
|---|---|---|---|---|---|
| 1 | Introduction | | - | - | 4 - 5 |
| | 1.1 | Objectives | - | - | |
| 2 | Inflation - Meaning | | - | - | 6 - 16 |
| | 2.1 | Types of inflation | 1, 2 | - | |
| | 2.2 | Causes of Inflation | - | - | |
| | 2.3 | Effects of inflation | - | - | |
| 3 | Measures To Control Inflation | | 3, 4 | - | 17 - 23 |
| 4 | Deflation | | - | - | 24 - 28 |
| | 4.1 | Meaning | - | - | |
| | 4.2 | Effects of Deflation | - | - | |
| | 4.3 | Methods to Control Deflation | - | 1 | |
| 5 | Challenges For Managers From Micro And Macro Environment Perspectives | | - | - | 29 - 31 |
| 6 | Slowdown, Recession, Depression, And Conventional And Non-Conventional Measures | | - | 2 | 32 - 37 |
| 7 | Summary | | - | - | 38 - 39 |
| 8 | Glossary | | - | - | 40 - 41 |
| 9 | Terminal Questions | | - | - | 42 |
| 10 | Answers | | - | - | 43 - 44 |
| 11 | References | | - | - | 45 |

# 1. INTRODUCTION

In the previous unit, we analyzed the meaning, features, and theories of business cycles. We learnt the measures to control business cycles and the relationship between business cycles and business decisions. Business cycles have significant impacts on the prices of goods and services that are supplied by firms, as well as the inputs used by the firms in their production processes. The level of prices is determined by various factors. A steady rise in price level is termed as inflation. Inflation is generally considered as a monetary phenomenon caused by an excess supply of money. There are different kinds of inflation – demand-pull inflation, cost-push inflation, etc. Inflation is caused by a number of factors such as an increase in the supply of money, income, exports, consumption, etc., on the demand side. On the supply side, inflation is caused by shortage in the supply of factors of production, operation of the law of diminishing returns, war, hoarding, etc. The effects of inflation are different in different sections of society. A mild inflation is beneficial to the economic growth as producers and business men are benefited by it. But when it assumes larger proportions, it becomes dangerous to the growth of the economy and is painful to the consumers and laborers. A number of anti-inflationary measures like monetary, fiscal, and administrative are adopted to control inflation. The concept of inflationary gap was first developed by J.M. Keynes, which means 'an excess of anticipated expenditure over available output at a base price'. Phillips curve explains the relationship between inflation and unemployment. Stagflation is a new concept developed to explain the situation of stagnant conditions in economic activity when there is inflation in the economy.

Deflation is just the opposite of inflation. It is essentially a period of falling prices and a rise in the value of money. Deflation is more dangerous than inflation.

## 1.1 Objectives

After studying this unit, you should be able to:

- Define inflation and distinguish between different kinds of inflation
- Describe the causes of inflation and its effects on different sections of society
- Explain different measures that can be adopted to control inflation



- Analyse the concept of inflationary gap
- Evaluate suitable measures to tackle the situation of stagnation
- Examine the impact of deflation on the performance of business firms

# 2. INFLATION - MEANING

Inflation has become a global phenomenon in recent years. Economic development is also associated with inflation. An in-depth study ofinflation is of paramount importance to a student of managerial economics. The term inflation is used in various scenarios and hence it is very difficult to give a generally accepted, universally agreeable, and precise definition to the term inflation. Popularly, inflation is associated with high prices, which causes a decline in the value of money.

**Inflation is commonly understood as a situation of substantial and rapid increase in the level of prices and consequent deterioration in the value of money over a period of time. It refers to the average rise inthe general level of prices and fall in the value of money**. Inflation is an upward movement in the average level of prices. The opposite of inflation is deflation, a downward movement in the average level of prices. The common feature of inflation is the rise in prices and the degree of inflation may be measured by price indices.

**Inflation is statistically measured in terms of percentage increase in the price index, as a rate (percent) per unit of time- usually a year or a month.** The trend of price indices reveals the course of inflation in the economy. Usually, the **Wholesale Price Index** (WPI) numbers are used to measure inflation. Alternatively, the **Consumer Price Index (CPI) or the cost-of-living index** can be adopted to measure the rate of inflation. In order to measure the percentage rate of inflation, the following formula can be used:

$$\text{Inflation Rate} = \frac{\text{CPI in current Year} - \text{CPI in previous Year}}{\text{CPI in previous year}} \times 100$$

CPI = Consumer price index

Most economists considered inflation **as a purely monetary phenomenon**. According to this approach, it is the increase in the quantity of money which causes an inflationary rise in the price level. An expansion in money supply unaccompanied by an expansion in the supply of goods and services inevitably results in price rise. Inflation exists when the amount of money in the country is in excess of the physical volume of goods and services. It is a situation where too much money chases too few goods. Money supply and rising price level are both causes and effects by themselves.

Inflation is that state of disequilibrium in which an expansion of purchasing power tends to cause an effect of an increase in the price level. Some economists state that inflation is always and everywhere

a monetary phenomenon. The classical economists advocated quantity theory of moneyand they analyzed the causes of inflation in terms of money. This approach failed to explain the causes of hyperinflation, which appeared in Germany after the First World War. This theory is not applicable to an economy suffering from depression and unemployment.

The Cambridge economists such as Lord Keynes and A.C Pigou viewed inflation **as a phenomenon of full employment.** According to Keynes "an inflationary rise in price cannot take place before the point of full employment".

This means that when there is under employment, the government ensures there is an expansion of money supply which is used by businesses to increase production of goods and services and during this time there is an expansion in employment as the unemployed resources (labor) are hired to do extra production. This is the reason why Keynes suggests that inflation is a phenomenon that happens only when there is full employment. Therefore, any and every rise in price level is not termed as inflation.

Any rise in price level before the point of full employment is called "semi- inflation" or "bottleneck inflation". This will continue till all unemployed men and other resources are fully employed. Beyond this stage, any increase inmoney supply will lead only to a rise in prices, but not a rise in production and employment. Hence, according to Keynes, the rise in price level after the point of full employment and when production does not increase is the true **inflation.**

According to another approach, the sole cause of inflation is the **existence of a persistent excess demand in the economy.** Inflation is the excess demand for the supply of everything after the limits of the supply have been reached.

## 2.1 Types of inflation

Depending upon the rate of rise in prices and the prevailing situation, inflation has been classified into the following six types:

- ***Creeping inflation*** **–** When the rise in prices is very slow (less than 3%) like that of a snail or creeper it is called creeping inflation.
- ***Walking inflation*** **–** When the rise in prices is moderate (in the range of 3 to 7%) and the annual inflation rate is in the single digit it is called walking inflation. It is a warning signal for the government to control it before it turns into running inflation.

- ***Running inflation*** **–** When the prices rise rapidly at a rate of 10 to 20% per annum it is called running inflation. Such inflation affects the poor and middle classes adversely. Its control requires strong monetary and fiscal measures; otherwise, it can lead to hyperinflation.
- ***Hyperinflation*** **–** Hyperinflation is also called by various names like jumping, runaway, or galloping inflation. During this period, prices rise very fast (double- or triple-digit rates) at a rate of more than 20 to 100% per annum and become absolutely uncontrollable. Such a situation brings a total collapse of the monetary system because of the continuous fall in the purchasing power of money.
- ***Demand-pull Inflation*** **–** The total monetary demand persistently exceeds the total supply of goods and services at current prices so that prices are pulled upwards by the continuous upward shift of the aggregate demand function. It arises as a result of an excessive aggregate effective demand over aggregate supply of goods and services in a slowly growing economy.

  Supply of goods and services will not match the rising demand. The productive ability of the economy is so poor that it is difficult to increase the supply at a quicker rate to match the increase in demand for goods and services.

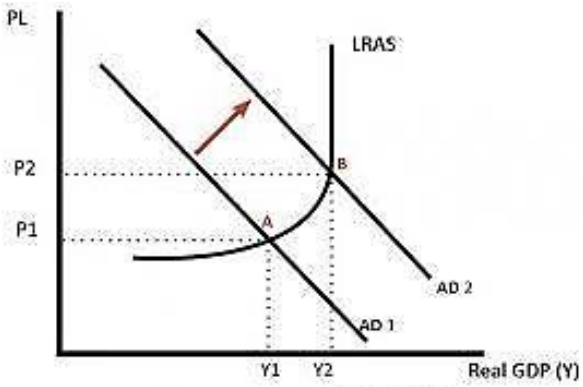
  When exports increase, the income of people rises. With excess money income, purchasing power, demand, and prices move in theupward direction.

  It is essential to note that the demand-pull inflation is the result ofan increase in money supply. This leads to the following:

  - Decrease in the interest rate,
  - Increase in investment
  - Increase in production
  - Increase in the incomes of factors of production
  - Increase in the demand for goods and services
  - Increase in the level of prices

Thus, excess supply of money results in escalation of prices.

Again, when there is a diversion of productive resources from the production of consumer goods to either capital or defense goods or non-essential goods, prices start rising in view of scarcity of consumer goodsand excess income in the hands of people. It is clear from Figure 1.




***Source:*** *Economics for managers by Geetha M Rajaram.*

**Figure 1:** Demand-pull inflation

- In the figure, X axis shows the price level (PL) and Y axis shows the GDP. LRAS is a long run aggregate supply curve. AD1 Aggregate demand 1 and AD2 Aggregate demand 2 curves. Point A indicates the equilibrium position where aggregate demand is equal to aggregate supply of goods and services. OP1 is the price level and OY1 indicates the supply of goods and services. As demand increases, supply being constant, the price level rises from OP1 to OP2.
    - ***Cost-push inflation*** **–** Prices rise on account of the increasing cost of production. When businesses respond to rising unit costs by increasing their prices to protect the profit margins. When manufacturers or businesses raise prices as a measure to balance other increase in production cost. Thus, in this case, the rise in price is initiated by growing factor costs. Hence, such a price rise is termed as 'cost-push' inflation as prices are being pushed up by rising factor costs. A number of factors contribute to the increase in the cost of production. They are:
    - Demand for higher wages by the labor class.
    - Fixing of higher profit margins by the manufacturers.
    - Rise in indirect taxes, Introduction of new taxes and raising the level of old taxes.
    - Increase in the prices of different inputs and raw materials in the market.
    - Rise in administrative prices by the government.
    - A fall in the external value of the exchange rate leads to a rise in the prices of goods and commodities that have to be imported.

These factors, in turn, cause prices to rise in the market. Out of the many causes, the rise in wages is the most important one. It is estimated and believedthat wages constitute nearly 70% of the total cost of production. A rise in wages leads to a rise in the total cost of production and a consequent rise in the price level. Thus, cost-push inflation occurs due to wage-push or profit-push.

We can explain the cost-push inflation with the help of Figure 2.

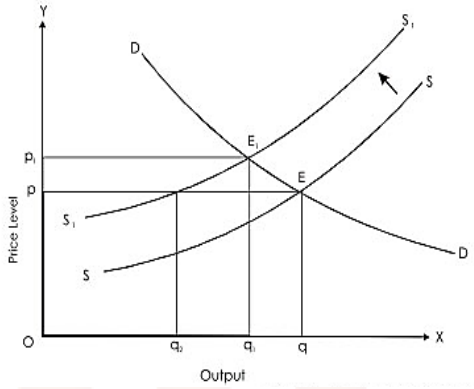



**Figure 2:** Cost-push inflation

Now, at the price Op, the demand is Oq but the supply is $Oq_2$ which is lesser than Oq. Therefore, the prices are pushed high till a new equilibrium is reached at $Op_1$. At this point, there is no excess demand. Hence, you can see that inflation is a self-limiting phenomenon. In the graph above, the equilibrium price is Op and the equilibrium output is Oq. If the aggregate supply falls, then the supply curve SS shifts left to reach $S_1S_1$.

## 2.2 Causes of Inflation

### I. Demand side

Increase in aggregative effective demand is responsible for inflation. In this case, aggregate demand exceeds aggregate supply of goods and services.

Demand rises much faster than supply. We can consider the following reasons for the increase in effective demand.

- ***Increase in money supply* –** Supply of money in circulation increases on account of the following reasons: deficit financing by the government,expansion in public expenditure, expansion in bank credit and repayment of past debt by the government to the people, increase in legal tender money and public borrowing.

- ***Increase in disposable income*** **–** Aggregate effective demand rises when disposable income of the people increases. Disposable income rises on account of the following reasons: reduction in the rates of taxes,increase in national income while tax level remains constant, and decline in the level of savings.
- ***Increase in private consumption expenditure and investment expenditure*** **–** An increase in private expenditure both on consumption and on investment leads to emergence of excess demand in an economy. When business is prosperous, business expectations are optimistic and prices are rising. More investments are made by private entrepreneurs causing an increase in factor prices. When the income of the factors rises, there is more expenditure on consumer goods.
- ***Increase in exports*** **–** An increase in the foreign demand for a country'sexports reduces the stock of goods available for home consumption.This creates shortages in the country leading to a rise in price level.
- ***Existence of black money*** **–** The existence of black money in a countrydue to corruption, tax evasion, black-marketing, etc. increases the aggregate demand. People spend such unaccounted money extravagantly and create unnecessary demand for goods and services thus causing inflation.
- ***Increase in foreign exchange reserves*** **–** This may increase on account of the inflow of foreign money into the country. Foreign direct investment may increase and non-resident deposits may also increase due to the policy of the government.
- ***Increase in population growth*** **–** This creates an increase in demand for many types of goods and services in a country.
- ***High rates*** **–** Higher rates of indirect taxes would lead to a rise in prices.
- ***Reduction in the rates of direct taxes*** **–** This would leave more cash inthe hands of people, inducing them to buy more goods and services, leading to an increase in prices.
- ***Reduction in the level of savings*** **–** This creates more demand for goods and services.

## II. Supply side

Generally, the supply of goods and services does not keep pace with the ever-increasing demand for goods and services. Thus, supply does not match thedemand. Supply falls short of demand. Increase in supply of goods and services may be limited because of the following reasons.

- ***Shortage in the supply of factors of production*** **–** When there is shortage in the supply of factors of production like raw materials, labor, capital equipment, etc. there will be a rise in their prices. Thus, when supply falls short of demand, a situation of excess demand emerges with rising factor prices creating inflationary pressures in an economy.
- ***Operation of law of diminishing returns*** **–** When the law of diminishing returns operates, an increase in production is possible only at a higher cost which demotivates the producers to invest in large amounts. Thus, production will not increase proportionately to meet the increase indemand. Hence, supply falls short of demand.
- ***Hoardings by traders and speculators*** **–** During the period of shortageand rise in prices, hoardings of essential commodities by traders and speculators with the objective of earning extra profits in the future creates an artificial scarcity of commodities. This creates a situation of excess demand paving the way for further inflation.
- ***Hoardings by consumers*** **–** Consumers may also hoard essential goods to avoid payment of higher prices in the future. This leads to an increase in the current demand, which in turn stimulates prices.
- ***Role of trade unions*** **–** Trade union activities leading to industrial unrestin the form of strikes and lockouts also reduce production. This will lead to the creation of excess demand that eventually brings a rise in the price level.
- ***Role of natural calamities*** **–** Natural calamities such as earthquake, floods, and drought conditions also affect the supplies of agricultural products adversely. They also create a shortage of food grains and raw materials, which in turn creates inflationary conditions.
- ***War*** **–** During the period of war, shortage of essential goods creates a rise in prices.
- ***International factors*** **–** These factors would cause either a shortage of goods and services or a rise in the prices of factor inputs, leading toinflation. E.g., higher prices of imports.

- ***Increase in prices of inputs within the country***

**III. Role of expectations**

Expectations also play a significant role in accentuating inflation. Thefollowing points are worth mentioning:

- If people expect further rise in price, the current aggregate demandincreases, which in turn causes a rise in the prices.
- Expectations about higher wages and salaries affect the prices ofrelated goods.
- Expectations of wage increase often induce some business houses toincrease prices even before upward wage revisions are actually made.

Thus, many factors are responsible for the escalation of prices.

## 2.3 Effects of inflation

The positive effects of inflation are as follows:

- ***Rise in investment*** **–** Rise in prices leads to a rise in profits, incomes, savings, and finally the volume of investment by entrepreneurs.
- ***Encourages entrepreneurship*** **–** As profits rise, it encourages entrepreneurs to enter into business in an increasing manner.
- ***Increase in the demand for money*** **–** As prices rise, people require more money to buy the same quantity of goods and services. Hence, it leads to an expansion in money supply in the country, which leads to a higher growth rate in the economy.
- ***A low inflation rate stimulates economic growth*** **–** A small amount of inflation is often viewed as having a positive effect on the economy. For example, mild inflation has a stimulating or tonic effect on the economy. Rise in price leads to increase in profit ratio, investment, output, employment, and income in an economy.
- ***Entrepreneurs and business community gain*** **–** Businessmen welcome inflation as they gain from the rising prices. Their inventory value rises. The price of finished products rises much faster than the production costs. Hence, their profit margins would also go up substantially.

- ***Effects on investors*** **–** If investors invest their capital in equity shares and debentures, they stand to gain because their prices are rising. On the other hand, if they invest in bonds and securities, they lose because their incomes from them remain the same.
- ***Effects on farmers*** **–** Virtually, farmers are the gainers because prices of agricultural goods rise on one hand. On the other hand, the cost of cultivation lags behind prices received. Inflation favors one group at the expense of other groups. It is generally regressive in nature as many people cannot protect their own self-interests.

The adverse effects of inflation are as follows:

- ***Disturbs the working of price mechanism*** **–** The most harmful effect of inflation is that it disrupts the smooth working of the price mechanism and economic system and as a consequence, economic adjustments become very difficult.
- **Inflation leads to balance of payments problems - When** domestic prices rise faster than prices in foreign countries, exports tend to lag behind imports. The rate of exchange also tends to depreciate on both accounts of the falling purchasing power of the currency within the country and adverse balance of payments.
- ***Adverse effects on investment and production*** **–** Rise in price leads to a fall in the value of money, reduction in purchasing power, reduced savings and investment. On account of the fall in the rate of capital formation, the total volume of production declines.
- ***Adverse effects on savings and capital formation*** **–** Due to rise in prices there is an effect on household savings. Capital formationsuffers as a consequence of depreciation in the value of money. It weakens the financial system of the country. Similarly, it discourages the inflow of foreign capital into the country and at times results in the outflow of capital.
- ***Business uncertainty*** **–** Production will be adversely affected on account of business uncertainty. A sort of tension prevails during the period of inflation which discourages entrepreneurs from taking risks involved in production.
- ***Hoardings and black marketing*** **–** During inflation, traders hoard essential goods with a view to getting higher profits. The buyers also hoard essential goods for fear of paying higher prices in the future. Thus, it also leads to the growth of black marketing.

- ***Sellers' market*** **–** During inflation, a sellers' market develops. As prices are rising, people want to sell their goods rather than buy them. The qualityof goods and services also will be affected by inflation.
- ***Speculative activity*** **–** Speculative activities gain momentum duringinflation.
- ***Distortion in resource allocation*** **–** It leads to diversion of resources from productive uses to unproductive uses with the sole objective of earning more profits by the entrepreneurs. With the rise in prices, the costs of development projects will also go up leading to more diversion of resources to complete the same project by the government.

**Effects on distribution**

- ***Unequal distribution of income and wealth*** **–** Prolonged and persistent inflation leads to inequitable distribution of wealth and income in society. Inflation robs the poor to enrich the rich. Rich entrepreneurs earn more profits at the cost of customers. This leads to unequal distribution of income and wealth as the rich become richer and poor become poorer.
- ***Hardships for fixed income earners*** **–** Rentiers and bond holders with fixed rates of interest, holders of government securities, persons who live on past savings, pensioners, etc., are adversely affected as their monetary income remains the same while the value of money falls.
- ***Debtors gain and creditors lose*** **–** Generally, during inflation, debtors gain as they return the borrowed money when its face value is less and creditors lose because they get back their money with depreciation in its value.
- ***Adverse effects on wage-earners and salaried class*** **–** The wage earners, salaried class, and middle-class people are worst affected as their living standards deteriorate due to escalation of prices while their incomes remain the same.

**Social and political effects of inflation**

- ***Social effects*** **–** Inflation is a powerful engine of wealth distribution in favor of the rich. It widens the gap between the rich and the poor and thus hampers social justice. It leads to social inequalities.
- ***Moral and ethical effects*** **–** In order to earn higher profits, businesses resort to black marketing, adulteration, smuggling, hoarding, quality deterioration, and other anti-social tactics. Hence, inflation gives a serious blow to business morality and ethics. General morality declines and

corruption increases. This leads to overall discontent among people.

- ***Political effects*** **–** Deterioration in social and ethical standards and discontent among the people reflected in political uncertainty. People lose faith in the administrative ability of the government, which gives way to an explosive political situation in the country. Hyperinflation in Germany during the 1920s is a glaring example of the rise of Hitler as a dictator. It has been rightly said that, "Hitler is the foster-child of inflation".
- ***Demonstration effect*** **–** It encourages consumerism and a country may have to suffer on account of demonstration effects.

**External effects of inflation**

- ***Volume of exports*** **–** It reduces the volume of exports of a nation as domestic prices are much higher than international prices.
- ***Exchange rate difficulties*** **–** Fall in the value of home currency may reduce external value of a currency and thus create problems in the determination of exchange rate between the currencies of different countries.
- ***Inflow of foreign capital*** **–** It discourages the inflow of foreign capital into a country.
- ***International competitiveness*** **–** If a country experiences a higher rateof inflation as compared to other nations, the internationalcompetitiveness of the given country will decline.

Thus, inflation has far-reaching consequences on the economy of a country.

# 3. MEASURES TO CONTROL INFLATION

The measures to control inflation (anti-inflationary measures) are broadly classified into three categories.

### I. Monetary Measures

Inflation is basically a monetary phenomenon. Excess money supply over the quantity of goods and services is mainly responsible for the rise in prices. Hence, monetary authorities aim at reducing and absorbing excess supplyof money in an economy. The following are some of the anti-inflationary monetary measures:

1. The volume of legal tender money may be reduced either by withdrawing a part of the notes already issued or by avoiding large-scaleissue of notes.
2. Restrictions on bank credit.
3. Freezing and blocking particular types of assets.
4. Increasing bank rates and other interest rates.
5. Sale of government securities in the open market by the central bank.
6. Raising the legal reserve requirements like CRR and SLR.
7. Prescribing a higher margin that bank and other lenders must maintainfor the loans granted by them against stocks and shares.
8. Regulation of consumer credit.
9. Rationing of credit.

Thus, the government may exercise various quantitative and qualitativetechniques of credit controls to control inflation.

### II. Fiscal Measures

The following are some of the important anti-inflationary fiscal measures:

1. Reduction in the volume of public expenditure.
2. Rise in the levels of taxes, introduction of new taxes, and bringing morepeople under the coverage of taxes.

3. More internal borrowings by public authorities.
4. Postponing the repayment of debt.
5. Control on the volume of deficit financing.
6. Preparation of a surplus budget.
7. Introduction of compulsory deposit schemes.
8. Incentive to savings.
9. Diverting the public expenditure towards the projects where the time gap between investment and production is least (small gestation period).
10. Tariffs should be reduced to increase imports and thus allow a part of the increased domestic income to 'leak out'.
11. Inducing wage earners to voluntarily buy government bonds, securities,etc.

Thus, fiscal measures succeed to a greater extent to contain inflation in its own way.

**III. Other Measures – Direct or Administrative Measures**

Direct controls refer to the regulatory or administrative measures taken by the government directly with an objective of controlling the rise in prices. Modern governments directly intervene in the working of the economy in several ways. Hence, the governments take several concrete measures to check the rise in prices. The following are some of the direct measures taken by modern governments.

1. Expansion in the volume of domestic output so as to meet the ever-increasing rise in the demand for them. Increasing the production of essential consumer goods like food, clothing, sugar, vegetable oil, etc.
2. Direct control of prices by fixing an upper limit for prices of essential consumer goods and introduction of rationing that aims at distributing consumption of scarce goods so as to make them available to a large number of consumers. It is applied on commodities like wheat, rice, kerosene sugar, edible oil to ensure distributive justice and stabilize the prices.
3. Control of speculative and gambling activities.
4. Wage – profit freeze by adopting appropriate wage-profit policy.
5. Adopting an appropriate income policy.

6. Introducing the latest technology, raw materials, financial help, subsidies should be provided for different consumer goods sectors to increase production.
7. Overvaluation of currency

   Overvaluation of domestic currency in terms of foreign currencies in order to increase imports to add to the stocks within the country and decrease in exports so that more goods will become available for domestic consumption.
8. Indexing

   Indexing refers to monetary corrections by periodic adjustments in money income of the people and in the value of financial assets, saving deposits, etc. held by the public in accordance with the changes in price level. E.g., if prices rise by 15%, the income and the value of the financial assets should be increased by 15% under the system of indexing.
9. Control of population

   This is considered as one of the most important methods because if population is controlled it is possible to keep a check on the demand forgoods and services.
10. Exhortations

    This implies authoritative persuasions, publicity campaigns, national savings campaign, requests to trade union for voluntary resistance to demand for rise in wages, companies to restrict dividend distributions to workers, and management to increase productivity and output, etc.

The above-said measures are to be employed in a judicious manner in order to combat inflation in a country.

**The Inflationary Gap**

J. M. Keynes invented the term 'inflationary gap' to describe a situation when there is "excess of anticipated expenditure over the available output at base prices." It is a gap between money incomes of the community and the available supply of output of goods and services.

According to Lipsey **"The inflationary gap is the amount by which aggregate expenditure would exceed aggregate output at the full employment level of income."** The larger the aggregate expenditure, the larger the gap and more rapid the inflation.

During a war, the volume of money expenditure by the government increases resulting in increased income within the community. This leads to increased consumption expenditure and investment. Given a constant average propensity to save, rising incomes at full employment level led to an excess of demand over supply and resulted in the development of inflationary gap.

We can explain this with an illustration:

| | (Rs. crore) |
|---|---|
| 1. Gross national income at current prices | 20,000 |
| 2. Less taxes | 5,000 |
| 3. Personal income (gross disposable income) | 15,000 |
| 4. Less savings in the community | 3,000 |
| 5. Disposable income | 12,000 |
| 6. Gross national product at pre-inflation prices | 15,000 |
| 7. Government expenditure (to meet the war requirements) | 6,000 |
| 8. Output available for consumption at pre-inflation prices | 9,000 |
| 9. Inflationary gap (12,000 – 9,000) ---------- | 3,000 |

Now, the net disposable income with the community is 12,000, but the available output for civilian consumption is only 9,000. There is an excess ofdemand for the available supply to the extent of Rs.3000 crore. This is referred to as the inflationary gap. Though Keynes associated an inflationary gap with war, such a gap can arise even during the period of economic development.

We can show the inflationary gap diagrammatically using the Keynesian concepts of aggregate supply and aggregate demand:

0 YF Y1 Income / Employment

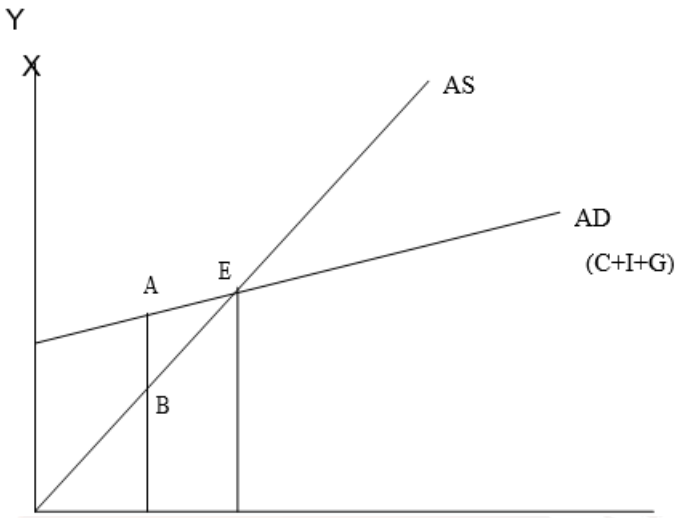



**Figure 3:** 'Interaction of aggregate demand and aggregate supply'

Y is the full employment level of income. The 45-degree line represents aggregate supply (AS) and C+I+G line (AD). The community's aggregate demand curve intersects the aggregate supply curve at E, at OY1 level of income, which is greater than the full employment level of income YF. The amount by which aggregate demand (YFA) exceeds the aggregate supply (YFB) at the full employment level of income is the inflationary gap (AB).

**Measures to wipe out inflationary gap**

The following are the measures to wipe out the inflationary gap:

1. Increase in savings to reduce aggregate demand.
2. Raise the output to match the disposable income.
3. Raise the taxes to clear the excess purchasing power.

The first two measures have a limited scope. Monetary policy also cannot be very effective and so the government will have to rely more on fiscal measures like taxation to wipe out the inflationary gap.

**Stagflation**

The present-day inflation is the best explanation for stagflation in the whole world. It is inflation accompanied by stagnation on the development front in an economy. Instead of leading to full employment, inflation has resulted in unemployment in most of the countries of the world. It is a global phenomenon today. Both developed and developing countries are not free from its clutches.

**Stagflation is a term in macroeconomics used to describea period with a high rate of inflation combined with unemployment andeconomic recession.** Inflationary gap occurs when aggregate demand exceeds the available supply and deflationary gap occurs when aggregate demand is less than the aggregate supply. These are two opposite situations. For instance, when inflation goes unchecked for some time, and prices reach a very high level, aggregate demand contracts and a slumpfollows. Private investment is discouraged. Inflationary and deflationary pressures exist simultaneously. The existence of an economic recession at the height of inflation is called 'stagflation'.

The effects of rising inflation and unemployment are especially hard to counteract for the government and the central bank. If monetary and fiscal measures are adopted to redress one problem, the other gets aggravated. Say, if a cheap money policy and public works programme are adopted to remedy unemployment, inflation gets aggravated. On the other hand, if a dear money policy and stringent fiscal measures are followed, unemployment gets aggravated. It is the most difficult type of inflation that the world is facing today. Keynesian remedial measures have notsucceeded in containing inflation but actually have aggravated unemployment. Thus, the world today stands between the devil (inflation) and deep sea (unemployment).

**Phillips curve**

A.W. Phillips, the British economist was the first to identify the inverse relationship between the rate of unemployment and the rate of increase in money wages. Phillips, in his empirical study, found that when unemployment was high, the rate of increase in money wage rates was low and when unemployment was low, the rate of increase in money wage rateswas high.

Phillips calls it the trade-off between unemployment and wages. This is illustrated in Figure 4.

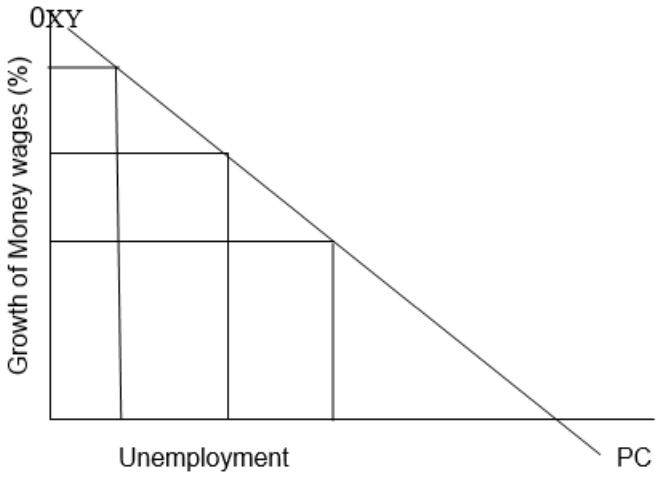



**Figure 4:** Phillips Curve

In the figure, the horizontal axis represents the rate of unemployment and the vertical axis represents the rate of wages. PC represents the Phillips curve; PC is sloping downwards and is convex to the origin of the two axes and cuts the horizontal axis. The convexity of PC shows that money wages fall with increase in the rate of unemployment or conversely, money wages rise with decrease in the rate of unemployment.

This inverse relationship between wage rates and unemployment is based on the nature of business activity. During the period of rising business activity, the wage rate is high and the rate of unemployment is low and during periods of declining business activity, the wage rate is low and the rate of unemployment is high. Paul Samuelson and Robert Solow extended the Phillips curve analysis to the relationship between the rate of change in prices and the rate of unemployment and concluded that there is a trade-off between the level of unemployment in a country and the rate of inflation.

We can use the same figure to illustrate this concept. Instead of wages, we show a rise in the price level on the OY axis. It will be clear from the figure that the higher the rate of inflation, lower is the rate of unemployment in the country; and lower the rate of inflation, the higher the rate of unemployment in the country. It implies that one can be achieved at the costof the other. Phillips curve analysis can be a guide to the government in striking a balance between the measures to be adopted to solve the problem of unemployment and inflation.

# 4. DEFLATION

## 4.1 Meaning

Deflation is just the opposite of inflation. It is essentially a period of falling prices, fall in incomes, and rise in the value of money. Deflation is that state of the economy where the value of money is rising or the prices are falling. But every fall in price level is not deflation. Deflation is that state of falling prices which occurs at the time when output of goods and services increases more rapidly than the value of income in the economy. Deflation is a state of disequilibrium in which a contraction of purchasing power tends to cause or is the effect of a decline of price level. Thus, a fall in price level is both the result as well as the cause of the fall in money supply.

## 4.2 Effects of Deflation

Deflation, like inflation, will have both dampening and encouraging effectson different sections of society.

**On production**

Deflation has an adverse effect on the level of production, business, and employment. Fall in demand and fall in prices force many firms to quit the industry or operate partially. Wages are reduced or workers are retrenched. It creates a hopeless situation in the area of production.

**On distribution**

Deflation adversely affects distribution of income too. In the first place, producers, merchants, and speculators badly lose during this period because prices of the goods fall at a much greater rate and faster than their costs. Being unable to cope with the situation, many are compelled toquit the industry.

Failure of business and inability to repay the loans incurred with the banks worsen the position of the merchants and the producers.

Debtors lose while the creditors gain. Fixed income groups enjoy a better standard of living because the income is fixed. There will be a rise in their real incomes. The salaried persons and wage earners will benefit from deflation.

However, the beneficial effects of deflation are far less compared to its adverse effects. During this period, because of unemployment, falling incomes, and output, a kind of pessimistic atmosphere is established in the entire economy.

## 4.3 Methods to Control Deflation

Anti-deflationary measures are the opposite of those used to control inflation.

- ***Monetary policy*** – Central bank will have to follow a cheap moneypolicy – reducing the bank rate, organizing open market purchase of securities, reducing the margin requirements, etc. to encourage borrowing. But because of falling prices and low marginal efficiency of capital, cheap money policy of the central bank may not be very effective in controlling deflation.
- ***Fiscal policy*** – Fiscal measures like deficit financing, reduction in tax rates, tax concessions, public works programmes, may prove to be more efficient in improving the situation than monetary measures.
- ***Other measures*** – Price support programmes, rationing of essential commodities, import of essential goods, grant of subsidies, developmentof infrastructure, marketing facilities, etc., may ease the situation tosome extent.

  Both inflation and deflation are dangerous. Of the two, deflation is more dangerous as it cripples the system and establishes a hopeless situationeverywhere.

**8th Recession of 2008**

'There was once a Great Depression'. This is what everybody would like to believe. The Depression of 1929 wreaked enormous damage across the world. In the United States of America, the government started the rebuilding exercise with President Roosevelt's announcement of holiday for the banks for four days. The depression did end and the world moved at a greater pace and the third world countries were catching up on the 'developed ones. Complacency was bound to step in. The rapidity and the magnitude of growth forced governments, corporate, and the top brass of institutions to look askance to the reckless manipulation of instruments of this growth during the early part of 21st century.

Starting August 2007, the world was in the grip of a financial whirlpool whichwas slowly but surely sucking in the hitherto unassailable giants of industry. The icons of the financial sector, Fannie Mae, Freddie Mac, which sound more like fast food chains, Lehman Brothers and the likes, were set to collapse like nine pins when the American government stepped in. The latter took upon itself a

liability of $1 trillion. What triggered this collapse wasa mix of highly complex financial instruments which the best brains werepaid hugely to develop and the false assumption that they could do no wrong.

**What kind of collapse did the above lead to?**

- The benchmark index of the Indian stock market, the SENSEX,came down from a high of 21000 to 8000 in less than a year.
- Unemployment rates:
  - In U.S.A, it went up from 4.9% *(Jan-Mar 2008)* to 6.8% *(Oct-Dec 2008)*
  - In Japan, it declined to 3.7% *(Oct-Dec 2008)* from 3.8% *(Jan-Mar 2008)*
  - In UK, it rose to 6.1% *(Oct-Dec 2008)* from 5.2% *(Jan-Mar 2008)*
- The growth rate of National Income (GDP):
  - In U.S.A, it came down to -6.4% *(Oct-Dec 2008)* from 0.9% *(Jan-Mar2008)*
  - In Japan, it came down to -4.6% *(Oct-Dec 2008)* from 1.5% *(Jan-Mar 2008)*
  - In UK, it came down to -1.8% *(Oct-Dec 2008)* from 2.6% *(Jan-Mar 2008)*
  - In China, it came down to 6.8% *(Oct-Dec 2008)* from 10.6% *(Jan-Mar 2008)*
  - In India, it came down to 7.8% *(Apr-Jun 2008)* and came down to 5.8% *(Jan-Mar 2009)*
- The Stock Market Index:
  - In U.S.A, Dow Jones index came down to 8,776 *(Oct-Dec 2008)*
  - from 12,263 *(Jan-Mar 2008)*
  - In Japan, it came down to 8,860 *(Oct-Dec 2008)* from 12,526 *(Jan-Mar 2008)*
  - In UK, it came down to 4,434 *(Oct-Dec 2008)* from 5,702 *(Jan-Mar2008)*
  - In China, it came down to 1,943 *(Oct-Dec 2008)* from 3,784 *(Jan-Mar 2008)*
  - In India, the SENSEX fell to 8,427 *(Jan-Mar 2009)* from 13,462 *(Apr-Jun 2008)*
- Foreign Direct Investments (in US$ Bn.) and the growth rate ofFDI:
  - In China, it came down to 18.0 *(Oct-Dec 2008)* from 27.4 *(Jan-Mar 2008)* while the FDI growth rate went down to -16.2% *(Oct-Dec2008)* from 61.3% *(Jan-Mar 2008)*

- In India, it declined to 6.2 (Jan-Mar 2009) from 10.1 (Apr-Jun 2008) while the growth rate of FDI was -48.1% (Jan-Mar 2009) from 101.4% (Apr-Jun 2008)

**What did the governments do to stabilize the economies?**

- In U.S.A, the government announced fiscal stimulus packages worth about US$1.5 trillion. The Federal Reserve reduced different interest rates several times in the past six months. The Obama government advocated protectionist policies like Buy American goods, etc.
- In Japan, it led to quantitative easing by Bank of Japan under whichthe Central Bank increased the outright purchase of government bonds. Other measures included injecting liquidity through purchase ofcommercial papers, and short-term corporate bonds.
- In UK, protectionist policies were adopted apart from reducing differentinterest rates several times in the past six months to its present level of 0.5%. BoE announced plans to ease quantitative easing.
- The People's Bank of China, the Central Bank of China, affected five interest rate cuts in four months. The Central Bank also lowered the reserve requirement ratio for lenders by 0.5% to 13.5%. In November 2008, Chinese central government announced a 4 trillion Yuan economic stimulus package. In January 2009, FDI inflow was US$ 7.54 bn. The benchmark one-year lending and deposit rates were reduced by 0.27% to 5.31% and 2.25% respectively.
- Indian government announced three fiscal stimulus packages worth Rs. 70,000 crore (US$ 15bn.) between December 2008 and February 2009. These mainly included cut in indirect taxes and higher market borrowings. The RBI reduced repo and reverse rates (rates at which the RBI lends to banks and absorbs liquidity respectively) five times since October 2008. Trade facilitation measures were announced to boost foreign trade. A survey by RBI indicated optimism from therespondents

(**Source:** Statistical Outline of India 2008-09 – TATA Services Ltd., Department of Economics and Statistics)

## SELF-ASSESSMENT QUESTIONS – 1

| | |
|---|---|
| **Fill in the blanks:** | |
| 1 | The value of money and price level is _____ related. |
| 2 | The state of steady rise in price level is called _____. |
| 3 | According to _____ inflation is a phenomenon where too much money chases too few goods. |
| 4 | The inflationary situation where people go with basketful of money and come home with pocketful of commodities is _____. |
| 5 | The governments go for _____ financing to finance public expenditure. |
| 6 | The concept of inflationary gap was introduced by _____. |
| 7 | The trade-off between inflation and unemployment is called the _____ curve. |
| 8 | A situation where inflation is accompanied by stagnation is called _____. |
| 9 | A state of steady fall in price is called _____. |
| **True or False Questions:** | |
| 10 | An increase in the overall level of prices in an economy is referred to aseconomic growth. **(True/False)** |
| 11 | Large or persistent inflation is almost always caused by excessivegrowth in the quantity of money. **(True/False)** |
| 12 | In the short run, falling inflation is associated with rising unemployment.**(True/False)** |
| 13 | If the price index in some country was falling over time, economists would say that the country had deflation. **(True/False)** |
| 14 | Deflation is negative inflation, not just a decrease in the inflation rate.**(True/False)** |
| 15 | Stagflation would result from the aggregate supply curve shifting to theleft. **(True/False)** |

# 5. CHALLENGES FOR MANAGERS FROM MICRO AND MACRO ENVIRONMENT PERSPECTIVES

Managers operate in a complex business environment shaped by factors from both micro and macro perspectives, and these influences are especially pronounced during periods of economic instability, such as inflation, deflation, or slowdowns.

From a **microeconomic perspective**, managers face challenges related to elements close to their organisations, such as:

- Consumer Behaviour: Rising inflation reduces the purchasing power of consumers, causing them to prioritise essential goods over non-essential or luxury items. For example, during inflationary periods in India, FMCG companies like Hindustan Unilever introduced value packs of shampoos and detergents, such as ₹1 sachets, to cater to budget-conscious consumers. These affordable alternatives ensure continued sales while addressing the financial constraints of their target market. Retailers often introduce discounts or bundle deals to stimulate demand, particularly in categories like food and personal care. This approach helps maintain customer loyalty and ensures revenue stability even during challenging economic conditions.
- **Supplier Relationships:** Inflation and supply chain disruptions drive up input costs, forcing managers to renegotiate terms with suppliers or seek alternative sourcing. For instance, during the global chip shortage in 2021, automotive companies like Tata Motors were compelled to diversify suppliers and adjust production schedules. Similarly, rising costs of commodities like steel during inflation periods push construction firms to hedge against price volatility or switch to locally sourced materials. Managers must balance maintaining cost efficiency and ensuring an uninterrupted supply of goods. Establishing long-term supplier partnerships can also help stabilise costs and reduce the risk of shortages.
- Labour Market Pressures: Inflation often results in employees demanding higher wages to keep pace with rising living costs, while recessions lead to downsizing and job cuts. For instance, during the COVID-19 pandemic, companies like Infosys had to implement reskilling programmes to enhance productivity while avoiding large-scale layoffs. Conversely, during inflationary periods, e-commerce firms such as Flipkart offer performance-linked bonuses instead of across-the-board pay hikes to manage costs. Balancing morale and efficiency is key,

and some organisations provide flexible work arrangements or invest in automation to reduce workforce dependency while maintaining productivity.

- Competition: Economic challenges often heighten competition, with businesses vying for a shrinking customer base. For example, during India's economic slowdown in 2019, telecom providers like Jio, Airtel, and Vodafone engaged in intense price wars, introducing competitive pricing and bundled services to attract consumers. Similarly, food delivery platforms like Swiggy and Zomato offered steep discounts and loyalty programmes to retain market share. Managers need to innovate by enhancing product quality, improving customer service, or introducing cost-effective offerings to stand out while maintaining profitability in highly competitive environments.

From a **macroeconomic perspective**, managers must navigate broader economic forces such as:

- Regulatory Changes : Macroeconomic conditions such as inflation or recession often lead governments to implement fiscal and monetary policies to stabilise the economy. These policies, like adjusting interest rates, taxation levels, or government spending, directly impact business costs and borrowing conditions. For example, during periods of high inflation, the Bank of England may increase interest rates to control spending and curb rising prices. Higher interest rates make borrowing more expensive for businesses, compelling managers to reconsider expansion plans or capital investments. Similarly, corporate tax hikes introduced to bolster public finances during a recession can affect profit margins, prompting firms to optimise costs.

- Market Uncertainty: Economic slowdowns frequently reduce consumer spending and investor confidence, making it challenging for businesses to predict demand or plan long-term strategies. For instance, during the 2008 financial crisis, sectors like real estate and retail in the UK experienced sharp declines in demand as consumers delayed purchases and businesses postponed investments. This uncertainty forced managers to adopt cautious approaches, such as maintaining lean inventories, diversifying revenue streams, and implementing flexible planning models. Companies like Marks & Spencer responded by focusing on core product lines and streamlining operations, adapting to fluctuating consumer sentiment while safeguarding profitability.

- Global Trade Fluctuations: Exchange rate volatility during recessions or deflation significantly impacts businesses involved in international trade. For instance, a weakening pound following

Brexit increased the cost of imports for UK businesses, particularly in sectors reliant on foreign raw materials, such as automotive and manufacturing. Managers had to hedge against currency risks using financial instruments like forward contracts to stabilise costs. Additionally, firms like Rolls-Royce re-evaluated market priorities, shifting focus to markets less affected by currency fluctuations. Global trade disruptions also encourage managers to explore alternative suppliers or local sourcing to minimise exposure to volatile exchange rates and maintain competitive pricing.

Managers in both perspectives need to stay agile, using data-driven insights to make informed decisions and developing contingency plans to address shifting economic scenarios.

# 6. SLOWDOWN, RECESSION, DEPRESSION, AND CONVENTIONAL AND NON-CONVENTIONAL MEASURES

Economic slowdowns, recessions, and depressions represent varying degrees of economic contraction, each posing unique challenges for governments, businesses, and society.

**Economic Slowdown**

An economic slowdown occurs when the growth rate of a country's Gross Domestic Product (GDP) declines, indicating reduced economic activity. It is less severe than a recession but serves as an early warning of potential economic challenges. During a slowdown, key indicators such as industrial production, consumer spending, and employment growth begin to weaken. While it does not necessarily involve negative growth, it highlights a reduced pace of expansion.

A slowdown impacts various sectors of the economy. For businesses, reduced consumer spending leads to lower revenues, compelling companies to scale back production or delay expansion plans. Governments often face reduced tax revenues, limiting their ability to invest in infrastructure or social programmes. Households, too, may face reduced job opportunities or wage growth, leading to cautious spending habits.

A recent example is the global slowdown during 2019, when trade tensions between the US and China disrupted supply chains and created uncertainty in international markets. In the UK, this period saw subdued growth as Brexit uncertainties impacted business investments and consumer confidence. Companies in manufacturing and export-oriented sectors, such as the automotive industry, experienced declining demand. Jaguar Land Rover, for instance, reported production cuts to manage falling sales in key markets.

To counter slowdowns, governments and central banks implement measures such as lowering interest rates to encourage borrowing and spending or introducing fiscal stimulus packages. For instance, during the economic slowdown triggered by the COVID-19 pandemic, the UK government announced extensive support measures, including furlough schemes and direct financial aid to businesses, to sustain demand and avoid a deeper contraction.

Hence, an economic slowdown reflects a decline in growth momentum, requiring proactive interventions to prevent it from escalating into a recession. By monitoring indicators and addressing key challenges, governments and businesses can mitigate its impact and restore economic stability.

**Recession**

A recession is a significant decline in economic activity across a country, lasting for at least two consecutive quarters of negative GDP growth. It affects key economic indicators such as industrial production, employment, real income, and consumer spending, signalling a contraction in overall economic performance. Recessions often stem from shocks such as financial crises, geopolitical tensions, or major policy shifts, and they disrupt both businesses and households.

During a recession, consumer demand typically falls due to lower disposable income and reduced job security. Businesses face declining revenues, leading to cost-cutting measures like layoffs or scaling down operations. Governments also experience reduced tax revenues, limiting public spending on development and welfare initiatives. At the same time, rising unemployment exacerbates the economic contraction, creating a cycle of reduced spending and investment.

A prominent example is the 2008 global financial crisis, triggered by the collapse of the US housing market and subsequent banking failures. This recession had far-reaching consequences, with the UK economy shrinking by 6.1% between 2008 and 2009. Businesses like Woolworths went bankrupt, and unemployment rose sharply. The crisis prompted central banks, including the Bank of England, to slash interest rates to near-zero levels, and governments introduced stimulus packages to stabilise financial systems and restore growth.

Another recent example is the COVID-19-induced recession in 2020, which led to a sharp contraction in global economic activity. Lockdowns and restrictions disrupted supply chains, halted production, and reduced consumer spending. In the UK, GDP fell by 9.7% in 2020, marking one of the largest contractions in modern history. Government interventions included furlough schemes, business grants, and low-interest loans to support struggling sectors.

Hence, recessions are marked by widespread economic distress, requiring coordinated policy responses. By implementing monetary and fiscal measures, governments and central banks aim to mitigate impacts, stimulate demand, and pave the way for recovery.

**Depression**

A depression is a prolonged and severe downturn in economic activity, significantly more intense and lasting than a recession. Characterised by widespread unemployment, deflation, business failures, and a substantial decline in GDP over several years, a depression affects nearly every aspect of an economy. It is often accompanied by significant social and political consequences, as public confidence in financial systems and institutions erodes.

Depressions usually result from a combination of structural economic weaknesses and large-scale shocks. For instance, excessive debt, speculative financial bubbles, or major disruptions such as wars can lead to prolonged economic contractions. Unlike recessions, which may resolve within a few quarters, depressions persist, with recovery taking several years or even decades.

The most infamous example of a depression is the **Great Depression** of the 1930s. Triggered by the 1929 Wall Street Crash, it led to a collapse of global financial markets and trade. In the United States, unemployment peaked at 25%, and GDP fell by nearly 30%. The ripple effects were felt worldwide, including in the UK, where industrial production dropped by 47% and unemployment exceeded 20%. The agricultural sector in countries like Canada and Australia also suffered due to plummeting crop prices.

Recovery from the Great Depression required significant government intervention. In the US, President Franklin D. Roosevelt's New Deal policies introduced large-scale public works projects and social welfare programmes to create jobs and restore economic confidence. Globally, countries adopted protectionist measures to shield domestic industries, though these often worsened international trade tensions.

Another example is Japan's "Lost Decade" in the 1990s, following the collapse of its asset price bubble. Although not officially a depression, its prolonged stagnation highlighted the difficulty of escaping entrenched economic decline.

Thus, depressions represent the most severe economic crises, requiring transformative policy responses to rebuild economies, restore confidence, and prevent long-term stagnation.

**Conventional and Unconventional Measures in Economic Management**

Economic slowdowns, recessions, or depressions require policymakers to intervene through a combination of **conventional** and **unconventional measures**. These tools aim to stabilise the economy, stimulate growth, and restore confidence in markets and consumers.

**Conventional Measures**

Conventional measures are standard, time-tested tools used by governments and central banks to manage economic fluctuations. They primarily fall under fiscal and monetary policies.

1. **Monetary Policy Adjustments**:
    - **Interest Rate Changes**: Central banks, like the Bank of England, adjust interest rates to influence borrowing and spending. For example, during a slowdown, reducing interest rates makes loans cheaper, encouraging investment and consumption. Conversely, rates are raised during inflation to curb excessive spending.
    - **Open Market Operations**: Central banks buy or sell government bonds to control money supply. Buying bonds injects liquidity into the economy, stimulating activity, while selling bonds reduces excess liquidity.
    - **Reserve Requirements**: Adjusting the cash reserve ratio for banks allows greater or restricted lending. A lower ratio during slowdowns increases credit availability to businesses and households.
2. **Fiscal Policy Interventions**:
    - **Government Spending**: Increased expenditure on infrastructure, healthcare, or education creates jobs and boosts demand. For instance, the UK's public works initiatives post-2008 helped revive the economy.
    - **Tax Cuts**: Reducing taxes puts more disposable income in consumers' hands, encouraging spending. Similarly, lowering corporate taxes can stimulate business investments.

These measures work well in most scenarios but can become less effective in extreme conditions, necessitating **unconventional measures**.

**Unconventional Measures**

Unconventional measures are innovative and less traditional approaches employed during severe economic downturns or crises when conventional tools prove insufficient. These include:

1. **Quantitative Easing (QE)**:
    - Central banks purchase long-term assets, such as government and corporate bonds, to inject liquidity directly into financial markets. This reduces borrowing costs and

encourages lending. The Bank of England's QE programme post-2008 and during COVID-19 is a prime example.

2. **Negative Interest Rates**:
    - In extreme cases, central banks may set negative interest rates, charging banks for holding reserves, to incentivise lending. While controversial, this approach has been used by countries like Japan and Switzerland to combat prolonged stagnation.
3. **Targeted Subsidies and Bailouts**:
    - Governments provide financial support to struggling industries or businesses critical to the economy. For example, during COVID-19, the UK government bailed out airlines and offered grants to small businesses to prevent widespread bankruptcies.
4. **Helicopter Money**:
    - This involves direct cash transfers to citizens to boost consumption. While not widely implemented, it is debated as a potential tool during severe deflation or depression.
5. **Debt Restructuring or Forgiveness**:
    - In some cases, governments or financial institutions may restructure or forgive debts to alleviate financial burdens on businesses or households. This was notably done during the Eurozone debt crisis, where Greece received financial relief packages.
6. **Universal Basic Income (UBI)**:
    - Providing citizens with a guaranteed income regardless of employment status to sustain basic consumption levels. While experimental, UBI has been tested in regions like Finland and proposed in economies experiencing prolonged unemployment.

Conventional measures serve as the first line of defence during economic challenges, focusing on established fiscal and monetary policies. However, in severe crises, unconventional measures become necessary to address systemic risks and restore confidence. The combination of these tools ensures that economies can recover, adapt, and thrive, even in the face of unprecedented challenges. Balancing these approaches requires careful consideration of economic contexts and long-term impacts.

## SELF-ASSESSMENT QUESTIONS – 2

| **Multiple Choice Questions:** | |
|---|---|
| 16 | What does an economic slowdown typically indicate?<br>a) Negative GDP growth for two consecutive quarters<br>b) Reduced growth rate of GDP<br>c) Widespread unemployment and deflation<br>d) Excessive government spending |
| 17 | Which of the following is an example of an unconventional economic measure?<br>a) Reducing interest rates<br>b) Government infrastructure spending<br>c) Quantitative easing<br>d) Adjusting tax rates |
| 18 | What defines a recession?<br>a) A prolonged and severe economic downturn<br>b) Two consecutive quarters of negative GDP growth<br>c) A period of moderate GDP growth<br>d) High levels of inflation |
| 19 | Which tool is part of conventional monetary policy?<br>a) Helicopter money<br>b) Negative interest rates<br>c) Open market operations<br>d) Universal basic income |
| 20 | What does the marginal efficiency of capital (MEC) represent?<br>a) The ratio of government spending to GDP<br>b) The expected profitability of an investment<br>c) The rate of inflation over time<br>d) The total volume of exports and imports |

# 7. SUMMARY

Let us recapitulate the important concepts discussed in this unit:

- Inflation refers to a general rise in price level. There are different typesof inflation like demand pull inflation, cost push inflation, etc. Inflation is caused by a number of factors like rise in the supply of money, increase in exports, black money, rise in the coast of production, hoarding, war, etc. It affects different sections of the population differently.
- Producers, merchants, and debtors gain while the consumers, laborers, and fixed income groups suffer. A number of measures like monetary, fiscal, and physical controls are adopted to control inflation.
- Inflationary gap is a Keynesian concept; it arises when the expenditureis in excess of the goods available in the economy.
- Phillips curve explains the inverse relationship that exists between the rate of unemployment and the rate of increase in wages. Paul Samuelson and Robert Solow using Phillips curve explain how at a higher rate of inflation, unemployment is low and how at a lower rate of inflation, the unemployment rate is high. It serves as a good guide to the government and the monetary authorities to adopt appropriate policiesto tackle the problem of unemployment and inflation.
- Deflation is a state of falling prices, incomes, output, and employment.As deflation has the danger of creating conditions of depression, it must be cured by adopting various monetary and fiscal measures.
- Microeconomic Challenges for Managers: Managers face issues such as fluctuating consumer demand, rising input costs, labour market pressures, and heightened competition during economic fluctuations like inflation or recessions. For instance, inflation may lead FMCG firms to introduce value packs to maintain affordability.
- Macroeconomic Challenges for Managers: Broader economic forces such as regulatory changes, market uncertainty, and global trade fluctuations impact decision-making. For example, exchange rate volatility affects import-export businesses, requiring careful risk management.
- Economic Slowdown: A slowdown refers to reduced economic growth, where indicators like industrial production and employment weaken. Governments and businesses adopt cost-cutting

measures and invest cautiously during such periods, as seen in Brexit-induced uncertainties in the UK.

- Recession: Defined as two consecutive quarters of negative GDP growth, a recession causes declining consumer spending and business revenues. Examples include the 2008 financial crisis, where governments implemented fiscal and monetary policies to restore growth.
- Depression: A prolonged and severe downturn in economic activity, such as the Great Depression, causes widespread unemployment and business failures. Recovery often requires large-scale government intervention, such as public works and social welfare programmes.
- Conventional Measures: Standard economic tools include interest rate adjustments, fiscal spending, tax cuts, and open market operations to stabilise the economy. For instance, the Bank of England reduces rates during slowdowns to encourage spending.
- Unconventional Measures: Innovative strategies like quantitative easing, negative interest rates, and direct cash transfers are used during severe downturns. Examples include QE programmes post-2008 and targeted subsidies during COVID-19.
- Fiscal Policy: Increased public spending and tax reforms during crises stimulate demand and create jobs. The UK's stimulus packages during the pandemic supported struggling sectors and individuals.
- Monetary Policy: Central banks manage money supply and interest rates to control inflation and boost growth. Lowering rates during recessions helps increase borrowing and investment.
- Integrated Approach: A combination of conventional and unconventional measures ensures economic stability and recovery during crises, with policies tailored to specific challenges and their severity.

# 8. GLOSSARY

| | | |
|---|---|---|
| **Cost-push inflation** | - | A situation wherein prices rise on account of the increasing cost of production. |
| **Deflation** | - | State of the economy where the value of money is rising or prices are falling. |
| **Demand-pull Inflation** | - | A situation where the total monetary demand persistently exceeds total supply of goods and services at current prices so that prices are pulled upwards by the continuous upward shift of the aggregate demand function. |
| **Inflation** | - | A situation of substantial and rapid general increase in the level of prices and consequent deterioration in the value of money over a period of time. It refers to the average rise in the general level of prices and fall in the value of money. |
| **Inflationary gap** | - | Amount by which aggregate expenditure would exceed aggregate output at the full employment level of income. |
| **Phillips curve** | - | Indicates the inverse relationship between the rate of unemployment and the rate of increase in wages. |
| **Stagflation** | | A high rate of inflation combined with unemployment and economic recession. |
| **Microeconomic Challenges** | | Issues managers face due to factors like consumer demand, supplier costs, and competition within the immediate business environment. |
| **Macroeconomic Challenges** | | Broader economic factors such as regulations, trade dynamics, and global economic trends that affect businesses. |
| **Economic Slowdown** | | A period of reduced GDP growth where key economic indicators weaken without significant contraction. |
| **Recession** | | A phase of economic decline marked by two consecutive quarters of negative GDP growth and rising unemployment. |

| | |
|---|---|
| **Depression** | A severe and prolonged economic downturn with widespread unemployment, reduced GDP, and deflation. |
| **Conventional Measures** | Standard tools like interest rate adjustments, government spending, and tax reforms used to manage economic cycles. |
| **Unconventional Measures** | Non-traditional policies such as quantitative easing, negative interest rates, and direct cash transfers used in severe crises. |
| **Quantitative Easing (QE)** | A monetary policy where central banks purchase long-term assets to inject liquidity into the economy. |
| **Fiscal Policy** | Government actions involving spending and taxation to influence economic activity and stimulate growth. |
| **Monetary Policy** | Central bank strategies to manage money supply and interest rates for inflation control and economic stability. |
| **Exchange Rate Volatility** | Fluctuations in currency value that affect trade and investment flows, especially during economic uncertainty. |
| **Public Distribution System (PDS)** | A direct control mechanism in India providing subsidised goods to vulnerable populations during shortages. |
| **Universal Basic Income (UBI)** | A financial policy providing a guaranteed income to all citizens to ensure basic consumption levels during economic crises. |
| **Open Market Operations** | Central bank activities involving the buying and selling of government bonds to regulate money supply. |
| **Marginal Efficiency of Capital (MEC)** | The expected profitability of an investment compared to its cost, influencing investment decisions. |

# 9. TERMINAL QUESTIONS

1. Discuss different kinds of inflation.
2. Explain the causes of inflation.
3. Describe the effects of inflation and the measures adopted to control it.
4. Explain the concept of inflationary gap.
5. Explain the effects of deflation and the methods adopted to control it.
6. What is the difference between an economic slowdown and a recession?
7. How does quantitative easing (QE) work as an unconventional measure?
8. Why is fiscal policy important during a recession?
9. What challenges do managers face during inflation?
10. What is the role of exchange rate management in economic stability?

# 10. ANSWERS

## Self-Assessment Questions

1. Inversely
2. Inflation
3. Coulborn
4. Jumping / galloping / hyper inflation
5. Deficit
6. Keynes
7. Philips
8. Stagflation
9. Deflation
10. False
11. True
12. True
13. True
14. True
15. True
16. (b) Reduced growth rate of GDP
17. (c) Quantitative easing
18. (b) Two consecutive quarters of negative GDP growth
19. (c) Open market operations
20. (b) The expected profitability of an investment

## Terminal Questions Answers

**Answer 1:** Depending upon the rate of rise in prices and the prevailing situation, inflation has been classified into six types. Refer to section 2.

**Answer 2:** Increase in aggregative effective demand is responsible for inflation Refer to section 2.

**Answer 3:** The positive effects of inflation are as many as social effects. Refer to section 2.

**Answer 4:** It is a gap between money incomes of the community and the available supply of output of goods and services. Refer to section 3.

**Answer 5:** Deflation, like inflation, will have both dampening and encouraging effects on different sections of society. Refer to section 4

**Answer 6:** An economic slowdown refers to a decline in the GDP growth rate, while a recession involves two consecutive quarters of negative GDP growth. Slowdowns show reduced momentum in growth, whereas recessions signal a contraction in economic activity with widespread impacts like unemployment.

**Answer 7:** Quantitative easing involves central banks purchasing long-term assets like government bonds to inject liquidity into financial markets. This reduces borrowing costs, encourages lending, and stimulates economic activity, particularly during severe downturns.

**Answer 8:** Fiscal policy is vital during a recession as it stimulates demand through increased government spending and tax cuts. These measures create jobs, boost consumer spending, and support struggling industries, aiding economic recovery.

**Answer 9:** Managers face higher input costs, wage demands, and shifting consumer behaviour during inflation. They must adapt by renegotiating supplier contracts, introducing cost-effective products, and ensuring employee morale amidst rising operational costs.

**Answer 10:** Exchange rat management influences trade competitiveness and investment flows. Stable exchange rates prevent excessive fluctuations, ensuring predictable costs for imports and exports, which is crucial for businesses operating in global markets.

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